

Business Finance (ACC501)

Question: 1 (Marks: 1)

Attempted Questions: 0

Total Questions: 27

The value of net working capital will be equal to zero when:

Choices:

☐ Current Assets > Current Liabilities

☐ Current Assets < Current Liabilities

☐ Current Assets = Current Liabilities

☐ None of the given options

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Question: 2 (Marks: 1)

Attempted Questions: 1 Total Questions: 27

A company's ability to meet long-term obligations can be estimated by using which of the following set of ratios?

Choices:

☐ Liquidity Ratio☐ Solvency Ratios☐ Asset Management Ratios☐ Market Value Ratios

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Question: 3 (Marks: 1)

Attempted Questions: 2

Total Questions: 27

Which of the following set of ratios relates the market price of the firm's common stock to selected financial statement items?

Choices:

☐ Liquidity Ratios☐ Financial Leverage Ratios☐ Profitability Ratios☐ Market Value Ratios

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Question: 4 (Marks: 1)

Attempted Questions: 3

Total Questions: 27

Which of the following statement best describes the concept of Time Value of Money?

Choices:

☐ Don't compare apples to oranges

☐ Don't put all of your eggs in one basket

☐ A dollar in hand is worth more than a dollar tomorrow

☐ Two and two always make four

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Question: 5 (Marks: 1)

Attempted Questions: 4

Total Questions: 27

Sadaf puts Rs. 30,000 into a bank account earning 3 percent. She has been told that her money will be doubled after a certain period of time. Based on the Rule of 72, how long will she have to leave the money in the account?

Choices:

☐ 20 years☐ 22 years☐ 24 years☐ 26 years

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Question: 6 (Marks: 1)

Attempted Questions: 5

Total Questions: 27

Which one of the following is a correct formula to calculate present value of annuity?

Choices:

☐ $PV_t = P \times (1 - \text{Present value factor}) / r$

☐ $PV_t = P \times (1 - \text{Future value factor}) / r$

☐ $PV_t = P \times (\text{Present value factor} - 1) / r$

☐ $PV_t = P \times (\text{Future value factor} - 1) / r$

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Question: 7 (Marks: 1)

Attempted Questions: 6

Total Questions: 27

How many Rs. 130 annual payments must be invested at 10% to accumulate Rs. 269,054.60?

Choices:

☐ 7☐ 14☐ 28☐ 56

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Question: 8 (Marks: 1)

Attempted Questions: 7

Total Questions: 27

A company issues bonds with a Rs. 1,000 face value. What is the coupon rate if the coupon payments of Rs. 30 are paid every 3 months?

Choices:

☐ 3 percent☐ 6 percent☐ 9 percent☐ 12 percent

The price of a Rs. 1,000-face value bond is Rs. 1,000. What will be the yield to maturity if there is a coupon payment of Rs. 80 for 6 years?

Choices:

☐ Greater than 8%

☐ Lower than 8%

☐ Equal to 8%

☐ Cannot be determined without more information

Which of the following is NOT an example of negative covenant?

Choices:

☐ Limiting the amount of dividend according to some formula

☐ Restricting pledging assets to other lenders

☐ Maintaining any collateral or security in good condition

☐ Barring merger with another firm

Treasury notes and bonds are examples of which of the following types of bonds?

Choices:

☐ Government bonds

☐ Zero coupon bonds

☐ Floating-rate bonds

☐ Euro bonds

Which of the following type of bond pays no coupon at all and are offered at a price that is much lower than its stated value?

Choices:

☐ Government bonds

☐ Zero coupon bonds

☐ Floating-rate bonds

☐ Euro bonds

Which of the following is **NOT** a component of cash flow from assets ?

Choices:

☐ Operating Cash Flow

☐ Capital Spending

☐ Change in Net Working Capital

☐ None of the given options

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Question: **14** (Marks: 1)Attempted Questions: **11**Total Questions: **27**

Who among the following has the authority to select Board of Directors for the organization?

Choices:

☐ Shareholders☐ Debtholders☐ Auditors☐ Management

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Question: 15 (Marks: 1)

Attempted Questions: 12

Total Questions: 27

The value of net working capital would be _____ if current assets are higher than current liabilities.

Choices:

☐ positive☐ negative☐ zero☐ None of the given options

Which of the following issue(s) must be kept in mind while analyzing an income statement ?

Choices:

☐ Generally Accepted Accounting Principles (GAAP)

☐ Non Cash Items

☐ Time and Costs

☐ All of the given options

What would be the operating cash flow if there is an EBIT of Rs. 300,000 and depreciation and taxes have been calculated as Rs. 85,000 and Rs. 50,000 respectively?

Choices:

☐ Rs. 265,000

☐ Rs. 335,000

☐ Rs. 350,000

☐ Rs. 385,000

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Question: 18 (Marks: 1)

Attempted Questions: 15 Total Questions: 27

Which of the following set of ratios is **NOT** included in the traditional classification of financial ratios?

Choices:

☐ Liquidity Ratios☐ Prosperity Ratios☐ Profitability Ratios☐ Financial Leverage Ratios

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Question: **19** (Marks: 1)Attempted Questions: **16** Total Questions: **27**

What would be the present value of a sum of Rs. 1,000 to be received in future ?

Choices:

☐ Less than Rs. 1,000

☐ More than Rs. 1,000

☐ Equal to Rs. 1,000

☐ None of the given options

How much must be deposited at 8% each of the next 20 years to have Rs. 10,296.44?

Choices:

☐ Rs. 225

☐ Rs. 341

☐ Rs. 410

☐ Rs. 452

Which of the following term refers to the principal amount of a bond at issue ?

Choices:

☐ Par value

☐ Coupon value

☐ Current Yield

☐ Coupon Rate

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Question: 22 (Marks: 1)

Attempted Questions: 19 Total Questions: 27

The transactions related to stocks and bonds are dealt under which of the following area ?

Choices:

☐ Financial institutions☐ International finance☐ Investments☐ None of the given options

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Question: **23** (Marks: 3)

Attempted Questions: **20** Total Questions: **27**

If you have an amount of Rs. 20,000 and you plan to save it for 10 years with an interest rate of 8%, what will be the future value of your savings?

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Question: **24** (Marks: 3)

Attempted Questions: **20**

Total Questions: **27**

What do market value ratios measure? Name commonly used ratios in this regard.

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Question: **25** (Marks: 3)

Attempted Questions: **20** Total Questions: **27**

What is the difference between real rate and nominal rate?

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Question: **26** (Marks: 5)Attempted Questions: **20** Total Questions: **27**

ABC Company issues a 3-years zero coupon bond with face value of Rs. 10,000. The initial price is set at Rs. 6,575 with a yield to maturity of 15%. Calculate the value of implicit interest expense for 3 years separately.

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Question: **27** (Marks: 5)Attempted Questions: **20** Total Questions: **27**

Following are the end-of-year cash flows. What will be the present value if the discount rate is 8 percent?

Years	1	2	3	4	5
Cash Flow (Rs.)	1,000	1,500	1,200	2,100	1,800